# APPRAISAL REPORT

Redwood Health Center | Charlotte, NC

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| **Subject Property** | Redwood Health Center |
| **Address** | 253 Heritage Court, Charlotte, NC 98883 |
| **Property Rights Appraised** | Fee Simple |
| **Effective Date of Value** | April 24, 2021 |
| **Market Value Conclusion** | $29,870,000 |

## Demographics and Employment

Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 5.07% and 5.07%. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Employment growth is led by healthcare, logistics, education and professional services sectors. Redwood Health Center is located in Charlotte, NC, a market that has recorded 6.6% population growth over the last five years. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The Charlotte Medical Office market has experienced absorption of 4100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The Charlotte Medical Office market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 4.6% annually over the past 8 years. Patient parking and ADA-compliant access are provided at a ratio of 33 spaces per 1,000 square feet.

## Site Description

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 42 curb cuts and the property is served by municipal water and sanitary sewer.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 10 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 21.21 acres and is generally level with frontage along Heritage Court.

## Submarket Analysis

Market vacancy for comparable Medical Office product stands at 9.6%, down from 6.4% two years ago. Median household income within a 6-mile radius of the property is approximately $479,000 and has grown 2.9% annually. Patient parking and ADA-compliant access are provided at a ratio of 22 spaces per 1,000 square feet. The Charlotte Medical Office market has experienced absorption of 800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet. Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 7.43% and 7.43%. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

## Access and Utilities

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## Demographics and Employment

Redwood Health Center is located in Charlotte, NC, a market that has recorded 8.7% population growth over the last five years. Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 7.82% and 7.82%. The Charlotte Medical Office market has experienced absorption of 500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Market vacancy for comparable Medical Office product stands at 5.5%, down from 3.6% two years ago. Rent growth in the submarket has averaged 3.5% annually over the past 11 years.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 7.76% and 7.76%. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Median household income within a 2-mile radius of the property is approximately $374,000 and has grown 10.5% annually. Rent growth in the submarket has averaged 4.6% annually over the past 3 years. Redwood Health Center is located in Charlotte, NC, a market that has recorded 4.3% population growth over the last five years.

## Topography and Flood Zone

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 25.25 acres and is generally level with frontage along Heritage Court. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 43.43 acres and is generally level with frontage along Heritage Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

## Market Overview

Rent growth in the submarket has averaged 5.4% annually over the past 11 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 28 spaces per 1,000 square feet.

The Charlotte Medical Office market has experienced absorption of 2000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Redwood Health Center is located in Charlotte, NC, a market that has recorded 10.7% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet. Median household income within a 3-mile radius of the property is approximately $288,000 and has grown 7.1% annually.

## Topography and Flood Zone

The site contains approximately 48.48 acres and is generally level with frontage along Heritage Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 23 curb cuts and the property is served by municipal water and sanitary sewer.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 17.17 acres and is generally level with frontage along Heritage Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

## Supply and Demand

Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 7.69% and 7.69%. Redwood Health Center is located in Charlotte, NC, a market that has recorded 6.5% population growth over the last five years. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

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## Construction Details

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 3 years and are in average to good condition. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Common area interiors have been refreshed within the last 11 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 5-year membrane system with an estimated remaining useful life of 12 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

## Building Systems

Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Redwood Health Center was originally constructed in 1991 and consists of 109,000 SF in a building of 29 stories.

The roof is a 46-year membrane system with an estimated remaining useful life of 6 years. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

## Construction Details

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The roof is a 23-year membrane system with an estimated remaining useful life of 8 years. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The roof is a 9-year membrane system with an estimated remaining useful life of 7 years.

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## Sales Comparison Data

| Comparable | Location | Sale Date | Size | Price | $/Unit or SF | Cap Rate | Yr Built |
|---|---|---|---|---|---|---|---|
| Willow Health Center | Tempe, AZ | 05/23/2026 | 4 | $34,483,627 | $316 | 7.69% | 2010 |
| Sable Health Center | Des Moines, IA | 12/31/2022 | 4 | $39,428,904 | $362 | 6.22% | 1979 |
| Glenview Medical Plaza | San Diego, CA | 03/15/2024 | 4 | $33,491,358 | $307 | 8.03% | 1998 |
| Newport Medical Pavilion | Jacksonville, FL | 12/26/2024 | 5 | $16,856,291 | $155 | 5.99% | 2018 |
| Stonebridge Health Center | Dallas, TX | 10/19/2022 | 6 | $19,041,164 | $175 | 6.31% | 2021 |
| Crestline Medical Pavilion | Savannah, GA | 07/11/2023 | 5 | $24,816,545 | $228 | 6.01% | 2017 |
| Glenview Medical Plaza | Sacramento, CA | 04/24/2024 | 5 | $30,597,413 | $281 | 6.49% | 1994 |
| Crestline Medical Plaza | Sacramento, CA | 12/07/2025 | 4 | $15,167,974 | $139 | 6.33% | 1993 |
| Aspen Health Center | Newark, NJ | 08/23/2022 | 4 | $22,506,886 | $206 | 5.34% | 2019 |
| Cobalt Medical Plaza | Chicago, IL | 04/15/2024 | 4 | $30,571,019 | $280 | 5.82% | 1988 |
| Ironwood Health Center | Oklahoma City, OK | 03/13/2023 | 3 | $23,759,516 | $218 | 8.15% | 2019 |
| Harbor Medical Plaza | Boise, ID | 12/31/2024 | 5 | $35,007,436 | $321 | 5.37% | 1980 |
| Oakmont Health Center | Dallas, TX | 09/30/2024 | 5 | $26,901,341 | $247 | 7.56% | 2023 |
| Quincy Health Center | Jacksonville, FL | 07/05/2022 | 5 | $16,251,151 | $149 | 6.49% | 2013 |
| Verde Medical Pavilion | Kansas City, MO | 10/22/2023 | 2 | $18,696,233 | $172 | 6.57% | 1993 |
| Banyan Medical Pavilion | Seattle, WA | 04/11/2026 | 3 | $20,914,043 | $192 | 6.30% | 2006 |
| Aspen Medical Pavilion | Aurora, CO | 05/27/2023 | 4 | $38,923,169 | $357 | 7.94% | 1980 |
| Keystone Health Center | San Antonio, TX | 08/24/2025 | 3 | $32,871,490 | $302 | 7.96% | 1984 |
| Amberly Medical Pavilion | Portland, OR | 01/25/2023 | 6 | $30,530,426 | $280 | 7.57% | 1986 |
| Windmill Medical Pavilion | Buffalo, NY | 08/01/2022 | 2 | $38,626,899 | $354 | 5.91% | 1972 |
| Upland Medical Plaza | Oklahoma City, OK | 10/15/2023 | 5 | $23,007,879 | $211 | 6.91% | 2022 |
| Palisade Medical Plaza | New Orleans, LA | 05/14/2022 | 3 | $32,759,637 | $301 | 6.49% | 2016 |
| Sable Medical Pavilion | Kansas City, MO | 07/26/2023 | 3 | $14,832,562 | $136 | 7.81% | 2004 |
| Magnolia Medical Plaza | Oklahoma City, OK | 04/11/2025 | 4 | $12,225,711 | $112 | 6.17% | 1969 |
| Copper Medical Plaza | Greenville, SC | 01/21/2025 | 4 | $33,880,765 | $311 | 7.92% | 1982 |
| Osprey Medical Plaza | Boston, MA | 05/09/2025 | 2 | $32,397,020 | $297 | 5.44% | 1984 |
| Onyx Health Center | Pittsburgh, PA | 10/01/2022 | 5 | $12,456,759 | $114 | 8.00% | 2015 |
| Prairie Medical Plaza | San Antonio, TX | 11/14/2024 | 2 | $31,438,673 | $288 | 6.00% | 1999 |
| Calloway Medical Plaza | Omaha, NE | 04/16/2025 | 2 | $22,060,520 | $202 | 7.33% | 1984 |
| Highland Medical Pavilion | Sacramento, CA | 08/17/2025 | 5 | $22,578,528 | $207 | 6.23% | 1977 |
| Whitaker Health Center | Seattle, WA | 11/02/2025 | 6 | $36,884,747 | $338 | 6.00% | 1997 |
| Lockwood Medical Plaza | Naperville, IL | 02/18/2024 | 4 | $35,157,898 | $323 | 6.66% | 2014 |
| Willow Medical Pavilion | St. Louis, MO | 11/12/2022 | 3 | $21,882,579 | $201 | 5.61% | 1967 |
| Zephyr Medical Plaza | Savannah, GA | 09/17/2025 | 5 | $30,966,333 | $284 | 7.28% | 1977 |
| Dover Medical Pavilion | Sacramento, CA | 09/09/2023 | 6 | $25,976,208 | $238 | 5.30% | 2005 |
| Pinecrest Medical Pavilion | Sacramento, CA | 03/14/2024 | 3 | $31,559,260 | $290 | 5.24% | 1967 |
| Palisade Health Center | Greenville, SC | 08/30/2025 | 5 | $16,368,768 | $150 | 6.54% | 1987 |
| Indigo Medical Plaza | St. Louis, MO | 06/23/2025 | 6 | $12,019,079 | $110 | 5.43% | 1989 |
| Parkview Health Center | Norfolk, VA | 03/21/2022 | 4 | $24,815,491 | $228 | 7.21% | 2022 |
| Meridian Health Center | Omaha, NE | 06/12/2025 | 4 | $39,237,851 | $360 | 5.89% | 1982 |
| Pinecrest Medical Plaza | St. Louis, MO | 08/05/2026 | 3 | $25,030,310 | $230 | 6.18% | 2013 |

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## Operating Performance

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses. Operating expenses totaled $154,000 or approximately 29.32 per square foot, with real estate taxes representing the largest line item. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Debt service coverage ratio was 5.98x on a trailing basis against a covenant minimum of 1.20x. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Effective gross income for the trailing period was $290,000, representing a 12.7% increase over the prior year. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Operating Performance

Effective gross income for the trailing period was $219,000, representing a 5.3% increase over the prior year. Operating expenses totaled $203,000 or approximately 39.82 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The going-in capitalization rate of 6.20% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 5.48% reflects the in-place income and the stabilized occupancy assumption. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 29 spaces per 1,000 square feet. Debt service coverage ratio was 8.02x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $395,000 or approximately 35.42 per square foot, with real estate taxes representing the largest line item.

## Income and Expense Review

Debt service coverage ratio was 5.52x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. Operating expenses totaled $372,000 or approximately 24.93 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Debt service coverage ratio was 7.37x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $103,000 or approximately 25.75 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

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## Rent Comparables

| Comparable | Distance | Yr Built | Space Type | Asking Rent | Occupancy | Concessions |
|---|---|---|---|---|---|---|
| Marlow Medical Pavilion | 1.7 mi | 1975 | Studio | $23.60 | 94.1% | None |
| Westgate Medical Pavilion | 1.3 mi | 2022 | Inline | $26.31 | 89.2% | None |
| Timberline Medical Pavilion | 1.8 mi | 1976 | Inline | $26.99 | 96.9% | None |
| Verde Health Center | 2.5 mi | 1984 | Inline | $31.92 | 87.5% | None |
| Northgate Health Center | 0.7 mi | 2004 | 2BR | $23.37 | 88.2% | None |
| Everett Medical Plaza | 0.4 mi | 2015 | Bay | $25.16 | 88.4% | None |
| Raven Medical Plaza | 3.5 mi | 1990 | 2BR | $25.76 | 95.3% | None |
| Hawthorne Medical Plaza | 1.3 mi | 1983 | 2BR | $27.17 | 87.9% | None |
| Zephyr Medical Pavilion | 0.4 mi | 2006 | Suite | $28.49 | 97.6% | $500 |
| Upland Medical Pavilion | 4.9 mi | 2004 | Bay | $24.24 | 91.5% | None |
| Highland Health Center | 2.9 mi | 1979 | 2BR | $29.33 | 92.7% | None |
| Keystone Health Center | 2.1 mi | 1975 | Inline | $26.73 | 86.8% | None |
| Lakeshore Health Center | 3.4 mi | 2014 | Suite | $25.87 | 96.7% | None |
| Sterling Medical Pavilion | 3.9 mi | 1987 | Studio | $25.00 | 95.9% | 1 mo. free |
| Parkview Health Center | 2.9 mi | 2008 | 1BR | $28.54 | 91.4% | 1 mo. free |
| Dover Health Center | 1.1 mi | 2004 | Bay | $23.31 | 89.0% | None |
| Summit Health Center | 2.4 mi | 2004 | Suite | $29.80 | 89.8% | 1 mo. free |
| Calloway Medical Pavilion | 2.0 mi | 2010 | Suite | $28.19 | 89.7% | $500 |
| Wexford Medical Plaza | 1.9 mi | 2014 | Bay | $24.61 | 93.1% | None |
| Glenview Medical Plaza | 4.9 mi | 1970 | Bay | $23.07 | 89.9% | 1 mo. free |
| Juniper Medical Plaza | 2.5 mi | 2013 | Studio | $31.92 | 90.4% | None |
| Verde Medical Pavilion | 4.1 mi | 1999 | Bay | $23.51 | 90.2% | $500 |
| Westgate Health Center | 2.2 mi | 2012 | Unit | $26.37 | 88.6% | $500 |
| Marlow Medical Pavilion | 3.1 mi | 1972 | 2BR | $24.13 | 89.9% | 1 mo. free |
| Indigo Medical Plaza | 4.0 mi | 1974 | 2BR | $31.19 | 91.3% | None |
| Jasper Medical Plaza | 3.4 mi | 2002 | 2BR | $29.43 | 94.4% | None |
| Bluestone Medical Pavilion | 2.1 mi | 2021 | 1BR | $31.12 | 93.8% | None |
| Saddlebrook Medical Plaza | 2.4 mi | 2012 | 1BR | $26.40 | 86.7% | None |
| Prairie Medical Plaza | 0.3 mi | 2008 | Suite | $24.35 | 88.9% | None |
| Meridian Medical Plaza | 1.2 mi | 2023 | Bay | $29.42 | 89.3% | 1 mo. free |
| Fairmont Medical Pavilion | 3.5 mi | 1976 | Suite | $28.42 | 90.9% | None |
| Upland Medical Plaza | 1.6 mi | 1975 | Inline | $28.92 | 96.7% | $500 |
| Osprey Medical Plaza | 2.7 mi | 2006 | 2BR | $27.17 | 88.3% | $500 |
| Indigo Medical Pavilion | 4.9 mi | 2022 | Studio | $23.97 | 86.9% | None |
| Canyon Health Center | 4.4 mi | 1990 | Studio | $24.90 | 86.2% | None |
| Nautilus Health Center | 4.0 mi | 1988 | Inline | $31.02 | 91.7% | None |
| Ivy Health Center | 1.7 mi | 2011 | 1BR | $28.91 | 97.2% | None |
| Sterling Medical Plaza | 1.9 mi | 2020 | Suite | $28.95 | 96.6% | None |
| Vista Medical Pavilion | 2.3 mi | 1983 | Bay | $25.23 | 97.5% | $500 |
| Eastlake Health Center | 5.0 mi | 2022 | 2BR | $24.49 | 92.3% | None |

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## Demographics and Employment

The Charlotte Medical Office market has experienced absorption of 1700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Redwood Health Center is located in Charlotte, NC, a market that has recorded 2.5% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Redwood Health Center is located in Charlotte, NC, a market that has recorded 12.9% population growth over the last five years. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 5.06% and 5.06%.

## Site Description

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 47.47 acres and is generally level with frontage along Heritage Court. Access to the site is provided by 2 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 21.21 acres and is generally level with frontage along Heritage Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer.

## Supply and Demand

Employment growth is led by healthcare, logistics, education and professional services sectors. Redwood Health Center is located in Charlotte, NC, a market that has recorded 13.4% population growth over the last five years. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 6.52% and 6.52%. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Redwood Health Center is located in Charlotte, NC, a market that has recorded 4.3% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Medical Office product stands at 8.2%, down from 7.2% two years ago. Median household income within a 1-mile radius of the property is approximately $304,000 and has grown 13.7% annually.

## Topography and Flood Zone

The site contains approximately 33.33 acres and is generally level with frontage along Heritage Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 48 curb cuts and the property is served by municipal water and sanitary sewer.

Access to the site is provided by 41 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 38.38 acres and is generally level with frontage along Heritage Court. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

## Demographics and Employment

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# Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Redwood Health Center and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on April 12, 2021.

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Priya Lopez, Senior Associate

Meridian Valuation Advisors

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